

East West University
Department of Economics
Introduction to Microeconomics
ECO 7101
Course Outline: Spring 2025

Course Description

Introduction to Microeconomics (ECO 101) introduces the basic concepts and techniques applied in Microeconomics. The topics covered in this course will help to understand the behavior ("decision-making") of 'economic agents' (consumers and producers) which will lead to understanding how prices and quantity of outputs to be produced and sold are determined in the corresponding market/industry. This course is also designed to discuss the various market structure (different states of a market under which economic agents interact) of an economy.

Objectives of the course

The objective of the course is to understand the basic economics concepts such as scarcity, opportunity cost, marginal thinking, advantages of specialization of labor and of trade undertaken based on comparative advantage, role of demand and supply in determining prices and quantities in a market economy etc. Focus is also given on welfare analysis in terms of consumer and producer surplus and the effects of government intervention in the market on the surpluses. Understanding various concepts related to supply sides (production and cost both in short run and long run), different market structure (perfect competition, monopoly, duopoly/oligopoly, and monopsony) are also an objective of this course. Real world case studies as well as economic news in newspapers/magazines will be introduced to students in order to correlate textbook concepts with the real world.

Student Learning Outcomes (SLOs)

On successfully completing this course, students will be able to understand that economics is the study of how society manages its scarce resources. While understanding the management of scarce resources, students will learn the basic principles of Microeconomics analytically. Particularly, they will be able to

1. Understand Microeconomic concepts and principles relating to how people make everyday decisions at individual, household, and firm/industry levels. They will be able to understand basic concepts related to decision-making such as opportunity cost, trade-offs, scarcity, production possibility frontier, equity, and efficiency. They will understand how rational agents think at the margin to make choices.
2. At the individual household level, they will learn about utility maximization and how the individual demand curve is derived in this process. They will learn to apply elasticity concept, determine equilibrium price and quantity and estimate changes in economic welfare using concepts such as consumer and producer surplus.
3. At the firm level, students will be able to solve decision problems relating to production, cost, pricing, profits, competitive strategies etc. This includes concepts such as (total, marginal, average) production, costs, profits, equilibrium price and quantity at the firm level and the industry level.
4. They will also understand the operations of different types of market structure under which agents interact.
5. In general, students' analytical skills will be sharpened and they will be able to think like an economist.

Text book: Roger A. Arnold, Economics (13th edition), Thomson South Western,
Supplementary Text: Principles of Microeconomics, 8th Edition, by N. Gregory Mankiw

Schedule of Lectures and Exams

1. Definition of and key concepts in Economics- Ceteris Paribus assumption, Partial Equilibrium and General Equilibrium Analyses-Positive and Normative Economics- Microeconomics and Macroeconomics-Production Possibilities Frontier- Opportunity cost- Exchange (Chapters 1 & 2)
2. Law of Demand- Law of Supply-Movement along and shift of Demand Curve and Supply Curve- Equilibrium price and quantity- Changes of Equilibrium price and quantity- Application of Demand and Supply Analysis in real world problems (Chapters 3 & 4).

Mid term-I Examination

3. Elasticity of Demand and Supply- Point Elasticity and Arc Elasticity- Own price, Cross price and Income elasticity of demand- Elasticity of demand and revenue (Chapter- 17)
4. Cardinal and Ordinal utility-Total and Marginal utility-Diminishing Marginal utility- Equating Marginal utilities per unit of money- Utility and Law of Demand- Diamond – Water Paradox- Concept of Consumer Surplus (Chapter- 18).
5. Production and Costs- Concepts of Short- run & Long-run-Fixed cost & Variable cost- Short-run and Long-run Average Cost- Marginal cost- Average Variable Cost- Returns to Scale (Chapter- 19) - 3 Lectures

Mid term-II Examination

6. Perfect Competition- Features-Average and Marginal Revenue Curves- Profit maximization by an individual firm- Firm's Short-run Supply Curve- Short-run Supply Curve of an industry- Long-run Equilibrium under Perfect Competition (Chapter-20).
7. Monopoly- Barriers to entry- Natural monopoly- Profit maximization by a monopolist- Monopoly versus Perfect Competition- Price Discrimination (Chapter- 21) - 2 Lectures.
8. Monopolistic Competition and Oligopoly- Short- run and Long-run Equilibrium in a monopolistically competitive industry- Excess capacity and Advertising- Features of Oligopoly- Price and output in some oligopoly models (Chapter – 22) - 3 Lectures.

Final Examination

Evaluation Scheme : Mid-term-I: 25, Mid-term-II: 25, Final Exam: 30, Quizzes (3): 20

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**** Please note that there won't be any make up quiz and there is no scope for improvement examination. Under special circumstances students may be allowed to write make up mid-term-I or II exam [but not both].**